

AN INTRODUCTORY TEXTBOOK

MANAGEMENT

An Introduction to Organisational Management

A beginner-friendly academic text

For first-year university study

MGT₁₀₂

Prepared as a complete foundation text

MANAGEMENT

An Introduction to Organisational Management

MGT 102

A complete beginner's textbook

COPYRIGHT AND EDITORIAL NOTE

This book is an original instructional text prepared from the supplied MGT 102 course map and the supplied writing and visual guides. The course file is treated as private planning input and is not reproduced as such in the manuscript.

British spelling is used. The running business, Harbour Street Bakery, is illustrative; its names and figures are teaching devices. Tk appears only where a money example helps.

Historical concepts are attributed to their recognised authors or works. This book does not present the historical theories as timeless laws; it explains what the theories contributed and where modern managers should use judgement.

CONTENTS

THE WORK OF MANAGEMENT	8
WHY MANAGEMENT EXISTS	8
NATURE, PURPOSE, AND RESPONSIBILITY	8
MANAGERS, LEVELS, AND SKILLS	9
THE MANAGEMENT PROCESS AND PRODUCTIVITY	10
SCIENCE, ART, PROFESSION, AND EVOLUTION	11
A RUNNING CASE: HARBOUR STREET BAKERY	11
THE ORGANISATIONAL ENVIRONMENT	16
THE TWO WORLDS A MANAGER MUST READ	16
COMPONENTS OF THE EXTERNAL ENVIRONMENT	16
RESPONDING TO ENVIRONMENTAL CHANGE	17
ETHICS, SOCIAL RESPONSIBILITY, AND SUSTAINABILITY	18
PLANNING: FROM INTENTION TO ACTION	22
THE IDEA OF A PLAN	22
THE PLANNING PROCESS	22
TYPES OF PLANS	23
WHY PLANS FAIL	23
OBJECTIVES AND MANAGEMENT BY OBJECTIVES	28
WHAT AN OBJECTIVE DOES	28
EIGHT AREAS FOR ORGANISATIONAL OBJECTIVES	28
MANAGEMENT BY OBJECTIVES	29
SETTING OBJECTIVES WELL	30
DECISION MAKING	34
WHAT A DECISION IS	34
THE RATIONAL DECISION PROCESS	34
CONDITIONS AND LIMITS	35
GROUP DECISIONS AND DECISION SUPPORT	35
PROBABILITY AND DECISION TREES	36
ORGANISING WORK AND AUTHORITY	40
MEANING AND PURPOSE OF ORGANISING	40
FORMAL AND INFORMAL ORGANISATION	40
STRUCTURE, BUREAUCRACY, AND BEHAVIOURAL MODELS	41

SPAN, AUTHORITY, AND DELEGATION	41
CENTRALISATION, DECENTRALISATION, AND COORDINATION . .	42
LEADING PEOPLE	46
HUMAN FACTORS IN MANAGEMENT'	46
MOTIVATION AND THE NEEDS-GOAL IDEA	46
MASLOW AND THEORY X AND THEORY Y	47
LEADERSHIP STYLES, POWER, AND THE TANNENBAUM-SCHMIDT CONTINUUM	47
TRANSFORMATION, COACHING, SUPER LEADERSHIP, AND EI	48
CONTROLLING PERFORMANCE	52
WHAT CONTROLLING MEANS	52
THE CONTROL PROCESS	52
THREE BASIC TYPES OF CONTROL	53
METHODS AND REQUIREMENTS OF EFFECTIVE CONTROL	54
PLANNING AND CONTROLLING AS ONE LOOP	54

TO THE READER

This book is written for a student who knows little or nothing about management. The aim is not to make the subject sound complicated. The aim is to make the underlying ideas visible.

New terms are introduced in bold the first time they appear. A short note beside the paragraph gives a quick reminder. Examples begin with ordinary situations before moving into formal management language. Where a concept has several moving parts, the explanation slows down and uses a diagram or small numerical example.

Read each chapter in order the first time. The chapters build on one another: planning leads to objectives, objectives support decisions, decisions require organisation, organisation depends on people, and control sends information back into the next planning cycle.

The running business, Harbour Street Bakery, is deliberately ordinary. You will see the same organisation make plans, set objectives, choose among alternatives, organise work, lead people, and control performance. The business is illustrative, not a historical company.

At the end of every chapter you will find a summary, a short problem, common errors, and a historical note. Review questions are written as learning questions, not copied from past papers. Short answer notes are collected at the back.

HOW TO READ THE PAGE

The main column contains the teaching text. The narrow side column gives a one-line reminder of the paragraph. Bold terms identify important vocabulary at first use. Tables compare concepts, and figures simplify relationships before the detailed explanation returns.

This book is written for a student who knows little or nothing about management.

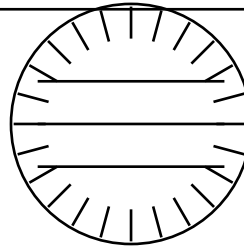
New terms are introduced in bold the first time they appear.

Read each chapter in order the first time.

The running business, Harbour Street Bakery, is deliberately ordinary.

At the end of every chapter you will find a summary, a short problem, common...

The main column contains the teaching text.



CHAPTER THE FIRST

THE WORK OF MANAGEMENT

How does a group of people become a coordinated effort?

Management begins when people must accomplish something together. This chapter builds the language of managers, the core functions they perform, and the ideas that shaped modern management thought.

THE OPENING PUZZLE

Imagine a business in which every employee works hard, yet orders are missed, supplies run out, and customers receive inconsistent service. How can a group of capable people produce a poor collective result?

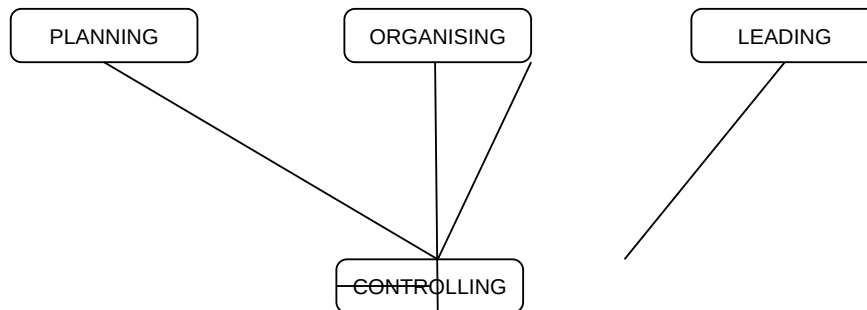


Fig. 1. The management process is a connected cycle of functions.

WHY MANAGEMENT EXISTS

A person can usually control a small task alone. A business becomes harder when ten people must coordinate the same task, and harder again when one hundred people depend upon one another. Someone must decide what is to be done, who will do it, when it must happen, what resources are needed, and how results will be checked. That need for coordination is the starting point for management.

Management means the process of achieving organisational goals by working with people and using resources efficiently and effectively. A manager therefore does not merely give orders. The manager connects goals, people, time, money, information, equipment, and decisions into a working system. The central word is process: management is a continuing set of activities rather than a single event.

Consider Harbour Street Bakery, an illustrative small business. The owner may bake, purchase flour, answer customers, schedule staff, and record sales. As demand grows, these tasks compete for attention. The owner must plan production, organise duties, guide employees, and check results. The business has not changed its purpose, but the need for management has become visible.

Management matters because resources are scarce and organisational goals do not achieve themselves. Good management helps an organisation use what it has to produce useful results. Poor management can waste time, duplicate work, create conflict, and leave important tasks unattended even when capable people are present.

Managerial effectiveness concerns choosing and achieving appropriate goals, while managerial efficiency concerns using resources well while doing so. A bakery that produces the right products but wastes ingredients may be effective but inefficient. A bakery that makes inexpensive products no one wants may be efficient in a narrow sense but ineffective. Managers must consider both.

Imagine a business in which every employee works hard, yet orders are missed,...

A person can usually control a small task alone.

Management means the process of achieving organisational goals by working with...

Consider Harbour Street Bakery, an illustrative small business.

Management matters because resources are scarce and organisational goals do not...

Managerial effectiveness concerns choosing and achieving appropriate goals, while...

NATURE, PURPOSE, AND RESPONSIBILITY

Management has several connected characteristics. It is goal-oriented because organisational activity needs a purpose. It is continuous because conditions change after one decision is made. It is social because managers work through people. It is universal because coordination is needed in businesses, public agencies, schools, hospitals, and voluntary organisations. It is also dynamic because a manager must respond to changes in technology, customers, employees, regulation, and competition.

The purpose of management is not simply to make a manager powerful. It is to help the organisation accomplish its purposes. This includes setting direction, arranging work, developing people, solving problems, and monitoring performance. Managers also have responsibilities to people affected by organisational decisions. An action that improves one short-term measure may create larger costs later if it damages quality, trust, safety, or employee capability.

Managerial responsibility means the obligation to perform assigned work, use authority properly, and accept accountability for results. Responsibility and authority should be related. If a person is responsible for a task but has no reasonable authority or resources, performance becomes difficult. If authority is given without clear responsibility, resources may be used without an equally clear obligation to produce results.

Managers also work with several types of resources. Human resources include employees and their knowledge. Physical resources include buildings, equipment, and materials. Financial resources include cash and funding. Information is another resource because decisions depend on timely and relevant facts. Time is also scarce: unlike many physical resources, lost time cannot be stored for later use.

Management therefore combines technical judgement with human judgement. A manager may understand a production method yet still fail if employees do not know what is expected. The reverse is also possible: a manager may have excellent interpersonal skill but lack enough knowledge to recognise a serious operational problem. Management requires several kinds of skill working together.

MANAGERS, LEVELS, AND SKILLS

Top managers are responsible for broad organisational direction. They consider the organisation as a whole and make decisions with long time horizons. Middle managers translate broad direction into departmental programmes and coordinate groups of supervisors. First-line managers supervise employees who perform the organisation's day-to-day work. The boundaries vary across organisations, but the difference is mainly one of scope and emphasis.

Technical skill means knowledge of methods, tools, processes, or specialised work. Technical skill is especially important when a manager must understand the work being supervised. Human skill means the ability to work effectively with individuals and groups. Conceptual skill means the ability to see the organisation as a system and understand how parts affect the whole. All managers need all three skills, but the relative emphasis changes with managerial level.

Management has several connected characteristics.

The purpose of management is not simply to make a manager powerful.

Managerial responsibility means the obligation to perform assigned work, use...

Managers also work with several types of resources.

Management therefore combines technical judgement with human judgement.

Top managers are responsible for broad organisational direction.

Technical skill means knowledge of methods, tools, processes, or specialised work.

Harbour Street Bakery illustrates the difference. A production supervisor needs enough technical knowledge to recognise a problem with an oven schedule. The owner needs stronger conceptual skill when deciding whether a new branch would overload the existing supply system. Both need human skill because instructions, disagreements, feedback, and motivation occur at every level.

A useful mistake to avoid is thinking that promotion automatically creates management skill. Technical excellence can help a person become a manager, but supervising people is a different responsibility. New managers often need practice in delegation, feedback, decision making, and coordination. Management development therefore includes learning how to achieve results through a system, not merely performing one job very well.

Harbour Street Bakery illustrates the difference.

A useful mistake to avoid is thinking that promotion automatically creates...

MANAGEMENT ROLES AT A GLANCE

Management level	Typical focus			Skills with greater emphasis
Top	Organisation-wide direction and long-range choices			Conceptual and human
Middle	Departmental implementation	coordination	and	Human, conceptual, technical
First-line	Direct supervision and daily operations			Technical and human

THE MANAGEMENT PROCESS AND PRODUCTIVITY

The classic core functions of management can be expressed as planning, organising, leading, and controlling. Planning determines what the organisation intends to accomplish and how it will approach the work. Organising arranges people and resources. Leading influences people so that work is carried out. Controlling compares actual results with expected results and supports corrective action. The functions overlap rather than occur in four perfectly separate boxes.

The classic core functions of management can be expressed as planning,...

Productivity means the relationship between outputs produced and resources used to produce them. A simple expression is $\text{productivity} = \text{output} / \text{input}$. If a bakery produces 1,000 loaves using 100 labour-hours, labour productivity for the period is 10 loaves per labour-hour. Productivity is useful, but a productivity figure alone does not tell a manager whether the right product was produced or whether quality was acceptable.

Productivity means the relationship between outputs produced and resources used...

Efficiency and effectiveness must therefore remain distinct. Efficiency asks, "How well are resources being used?" Effectiveness asks, "Are we achieving the right objective?" A manager can improve efficiency by reducing waste, but efficiency improvements should serve meaningful objectives. Good management connects both questions instead of allowing one to replace the other.

Efficiency and effectiveness must therefore remain distinct.

A helpful way to remember the relationship is this: effectiveness selects the destination; efficiency asks how well the journey is carried out. An organisation that reaches the wrong destination quickly has not solved its management problem. An organisation that chooses the right destination but uses resources carelessly also has a problem. Managers seek useful results with disciplined use of resources.

A helpful way to remember the relationship is this: effectiveness selects the...

SCIENCE, ART, PROFESSION, AND EVOLUTION

Management is often described as both a science and an art. It is a science in the sense that management uses organised knowledge, concepts, observation, comparison, and evidence to understand how organisations work. It is an art because managers must apply knowledge to real situations where information is incomplete and people respond differently. A rule may guide a decision, but judgement determines how the rule should be applied.

Management is often described as both a science and an art.

Management can also be discussed as a profession. Professions usually involve a body of specialised knowledge, formal education, standards of conduct, and some commitment to serving others. Management has developed extensive knowledge, university education, professional associations, and ethical expectations. It does not, however, operate everywhere under one licensing system comparable to medicine or law. It is therefore often described as a profession in an incomplete or developing sense rather than as a fully regulated profession.

Management can also be discussed as a profession.

Modern management thought developed through several streams. Scientific management focused on improving work methods and productivity. Administrative theory examined the organisation and the work of managers. Bureaucratic theory emphasised formal structure, authority, rules, and consistency. Behavioural approaches drew attention to human needs, groups, motivation, and leadership. Later systems and contingency approaches stressed interdependence and the fit between management practices and the situation.

Modern management thought developed through several streams.

Frederick W. Taylor is associated with the scientific management movement, while Henri Fayol is associated with administrative principles. Their work belongs to a historical period and should not be treated as a complete answer to modern organisations. Its lasting value is partly methodological: managers learned to study work systematically, clarify responsibility, and search for principles instead of depending entirely on habit.

Frederick W.

Fayol's commonly taught fourteen principles include division of work; authority and responsibility; discipline; unity of command; unity of direction; subordination of individual interest to general interest; remuneration; centralisation; scalar chain; order; equity; stability of tenure; initiative; and esprit de corps. These are best read as broad administrative ideas, not mechanical laws. Modern managers must interpret them in context.

Fayol's commonly taught fourteen principles include division of work; authority...

Scientific management and management science are related by name but different in method. Scientific management studies work methods, task design, time, incentives, and productivity. Management science uses quantitative models, statistics, optimisation, and analytical techniques to support managerial decisions. The first grew from the study of work; the second grew from decision analysis and operations research. Both can support management, but neither replaces managerial judgement.

Scientific management and management science are related by name but different in...

A RUNNING CASE: HARBOUR STREET BAKERY

Harbour Street Bakery begins with one owner, three employees, one production room, and a simple product line. The owner notices that sales are increasing, but the business is becoming more difficult to coordinate. Orders arrive through several channels. Production sometimes prepares too much of one item and too little of another. Staff members are helpful but are not always sure who decides when priorities conflict.

The owner starts with a management process. First, a basic weekly sales target is set. Next, production, purchasing, and customer-service duties are written down. Employees receive clearer responsibility for recurring work. A short daily meeting is introduced. At the end of each week, the owner compares planned production with actual sales, waste, customer complaints, and staff hours.

Nothing dramatic has happened. That is precisely the point. Management often consists of ordinary acts of coordination repeated with enough consistency to become a system. As the bakery grows, more specialised decisions will appear. The same four functions - planning, organising, leading, and controlling - will continue, but their scale and complexity will increase.

The case also demonstrates why the subject cannot be reduced to a list of functions. Planning affects organisation. Organisation affects leadership. Leadership affects employee behaviour. Control produces information that changes the next plan. Management is a connected process, and the quality of one part changes the usefulness of the others.

Harbour Street Bakery begins with one owner, three employees, one production...

The owner starts with a management process.

Nothing dramatic has happened.

The case also demonstrates why the subject cannot be reduced to a list of functions.

WORKED CASE: HARBOUR STREET BAKERY

Situation. Harbour Street Bakery has grown from three employees to seven. Sales are rising, but staff are unclear about priorities and the owner is approving every minor decision.

Question. What management changes should occur first? **Reasoning.** The owner needs to clarify objectives, group recurring work, delegate appropriate decisions, establish simple reporting routines, and introduce regular performance review. The problem is not a lack of effort; it is a lack of coordinated management processes.

Conclusion and check. The bakery should create a simple structure, define responsibilities, establish a weekly planning meeting, and use a short control report. Check that the changes improve coordination without adding unnecessary bureaucracy.

Situation.

Question.

Conclusion and check.

THE CLOSING PACK

Summary. Management is the coordinated process of achieving organisational goals through people and resources. Its central functions are planning, organising, leading, and controlling. Managers use technical, human, and conceptual skills. Effective management concerns suitable goals; efficient management concerns disciplined resource use.

Think it through. A small business owner says, "We do not need management. We only need hard workers." What parts of the management process are missing from this statement? Explain how those missing parts appear as a business grows.

Summary.

Think it through.

Where people go wrong. A common confusion is to treat management as supervision only. Supervision is an important activity, but management also includes planning, resource allocation, decisions, coordination, and control. Another confusion is to treat efficiency as the same thing as success. An organisation can be efficient at producing an unwanted outcome.

In history. Early industrial management developed partly because larger factories made informal coordination less reliable. Scientific management, administrative principles, and later behavioural approaches each addressed different parts of that problem. No single school ended the discussion; each added concepts that later managers could use or criticise.

Sources. Taylor, F. W. (1911), *'The Principles of Scientific Management'*. Fayol, H. (1916), *'Administration Industrielle et Generale'*; English editions followed later. Drucker, P. F. (1954), *'The Practice of Management'*. These works are useful historical anchors, not final authorities on every contemporary management question.

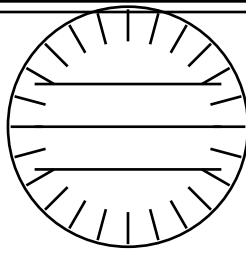
Where people go wrong.

In history.

Sources.

REVIEW QUESTIONS

1. Define management in your own words.
2. Explain the difference between effectiveness and efficiency using a small business example.
3. Why do managers need technical, human, and conceptual skills?
4. How are planning, organising, leading, and controlling connected?
5. Why is management described as both science and art?
6. State Fayol's fourteen principles and explain any four briefly.



CHAPTER THE SECOND

THE ORGANISATIONAL ENVIRONMENT

A manager works inside an organisation, but never inside a vacuum.

This chapter distinguishes the internal environment from the external environment and shows how social, economic, technological, political, legal, competitive, ethical, and ecological forces shape managerial work.

THE OPENING PUZZLE

Imagine a shop whose staff are well trained and whose internal procedures are sound. A new competitor opens nearby, customers change what they want, and a new rule raises a cost. Is the shop really operating in a stable system?

Imagine a shop whose staff are well trained and whose internal procedures are sound.

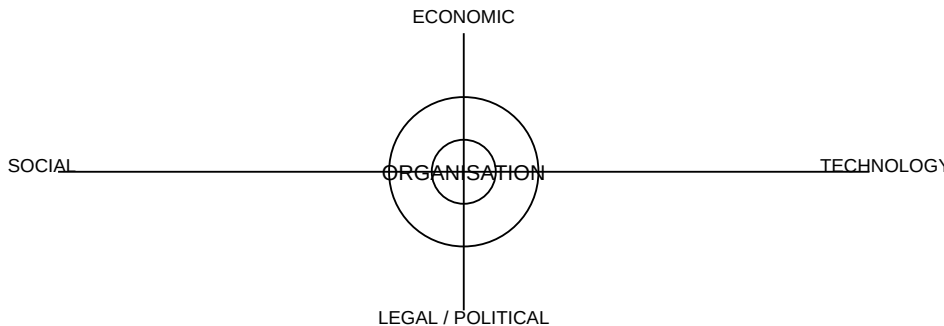


Fig. 2. The organisation sits within several interacting environmental forces.

THE TWO WORLDS A MANAGER MUST READ

An organisation has an internal environment, but its internal life is affected by forces outside its boundaries. A manager who watches only employees and equipment may miss a change in customer preferences, a new regulation, a technology shift, a supplier problem, or a competitor's move. Environmental awareness therefore belongs to ordinary management work.

An organisation has an internal environment, but its internal life is affected by...

The internal environment means conditions inside the organisation that managers can influence more directly. It includes people, structure, culture, technology, resources, policies, and internal relationships. The external environment means conditions outside the organisation that influence it but are not fully controlled by it. The distinction is useful even though the boundary is not absolute.

The internal environment means conditions inside the organisation that managers...

Harbour Street Bakery can influence its staff schedule, product design, purchasing rules, and service standards. It cannot control the price at which a supplier offers flour, the opening of a new competitor nearby, changes in local traffic, or a new legal requirement. The manager can respond to these forces, but cannot treat them as internal decisions.

Harbour Street Bakery can influence its staff schedule, product design,...

The environment also changes what counts as a good management decision. A staffing pattern that works during a quiet period may fail when demand changes. A supplier that is reliable for years may later become risky. Managers therefore need both operational control and environmental awareness.

The environment also changes what counts as a good management decision.

COMPONENTS OF THE EXTERNAL ENVIRONMENT

Economic forces include inflation, employment conditions, interest rates, income levels, and changes in purchasing power. A rise in input prices can reduce margins. A fall in household purchasing power can change demand. Managers do not need to predict every economic movement, but they should recognise how important economic changes reach the organisation.

Economic forces include inflation, employment conditions, interest rates, income...

Technological forces include new equipment, software, communication methods, data systems, and production processes. Technology can lower costs, improve quality, create new products, or make existing skills less valuable. The managerial question is not whether technology is "good" in the abstract. The question is whether a technology helps the organisation achieve its purpose in the circumstances it faces.

Technological forces include new equipment, software, communication methods, data...

Social and cultural forces concern population patterns, values, education, lifestyles, expectations, and patterns of consumption. Political and legal forces arise from government policy, legislation, regulation, and public institutions. Competitive forces include existing rivals, new entrants, substitutes, customers, and suppliers. These forces often interact. A legal change may alter competitive conditions; a technology change may alter customer expectations.

Managers also need to consider the natural environment and the organisation's social relationships. Sustainability in organisational management means managing resources and impacts in ways that can be maintained over time rather than consuming resources or creating harms that undermine future activity. Sustainability is broader than recycling. It includes long-term economic, social, and environmental consequences.

Social and cultural forces concern population patterns, values, education,...

Managers also need to consider the natural environment and the organisation's...

ENVIRONMENTAL FORCES	
Force	Typical questions for managers
Economic	How do prices, income, employment, or financing conditions affect us?
Social	What are customers, employees, and communities beginning to expect?
Technology	What new method changes cost, quality, speed, or capability?
Legal / political	What rules or public decisions change what is possible?
Competitive	What are rivals, suppliers, substitutes, and customers doing?

RESPONDING TO ENVIRONMENTAL CHANGE

Environmental management begins with scanning. Environmental scanning means gathering and interpreting information about relevant conditions outside the organisation. The goal is not to collect everything. The goal is to identify developments that could materially affect goals, resources, risks, or opportunities. Managers can use customer feedback, supplier information, market reports, public notices, professional networks, and internal data.

Scanning becomes useful when it leads to analysis. Managers can ask four questions: What changed? How important is it? How quickly might it matter? What choices are available? A minor change may need monitoring only. A major and immediate change may require a plan, resource shift, or new policy. This is why environmental management connects directly to planning and decision making.

Harbour Street Bakery notices that several customers now ask for lower-sugar products. The manager should not respond by immediately replacing the entire product line. First, the manager can test the evidence, identify which customers are requesting the change, estimate costs, and compare the new option with existing demand. The environmental signal becomes a management problem only after interpretation.

Environmental management begins with scanning.

Scanning becomes useful when it leads to analysis.

Harbour Street Bakery notices that several customers now ask for lower-sugar...

Managers can respond through adaptation, buffering, influencing, collaboration, or withdrawal. Adaptation changes internal operations. Buffering creates protection against variability, such as maintaining safety stock. Influencing attempts to shape conditions through communication or industry action. Collaboration shares knowledge or resources with other organisations. Withdrawal means leaving an activity that no longer fits the organisation's purpose or risk tolerance.

Managers can respond through adaptation, buffering, influencing, collaboration,...

ETHICS, SOCIAL RESPONSIBILITY, AND SUSTAINABILITY

Business ethics means principles used to judge whether business conduct is right, fair, responsible, or wrong. Ethics is broader than legal compliance. A decision can be legal and still raise ethical questions. Managers therefore need to ask not only "Can we do this?" but also "Should we do this, and what consequences follow?"

Business ethics means principles used to judge whether business conduct is right,...

Corporate social responsibility (CSR) concerns an organisation's responsibilities toward society beyond its narrow internal operations. Keith Davis described social responsibility in management terms as decisions and actions taken at least partly for reasons beyond the firm's direct economic or technical interest. His 1960 article remains an important historical reference for the concept.¹

Corporate social responsibility (CSR) concerns an organisation's responsibilities...

Davis model of corporate social responsibility. Davis later expressed his approach through five propositions: social responsibility arises from social power; business should operate as an open system that receives social input and discloses its operations; the social costs and benefits of activities should be considered before action; social costs should be recognised in pricing and decision making; and business organisations have responsibilities to address certain wider social problems when their capabilities are relevant. The five propositions are best understood as a framework for thinking about the relationship between business power and social responsibility. Davis presented them in his 1975 article, *Five Propositions for Social Responsibility*.⁵

Davis model of corporate social responsibility.

Davis also argued that managerial power brings a corresponding responsibility to consider social consequences. This can be understood as a practical principle: if an organisation has substantial effects on customers, employees, communities, or resources, managers cannot reasonably treat those effects as someone else's concern. The strength of the responsibility depends on the organisation's activities and power.

Davis also argued that managerial power brings a corresponding responsibility to...

Sustainability adds the question of time. A decision may generate a gain today but weaken the organisation tomorrow by damaging resources, trust, capability, or the environment. A sustainable management approach considers whether the organisation can continue creating value without undermining the conditions on which that value depends.

Sustainability adds the question of time.

WORKED CASE: HARBOUR STREET BAKERY

Situation. Flour prices rise, a nearby competitor offers lower-priced bread, and several customers request healthier products.

Situation.

Question. How should management respond? Reasoning. The manager should separate the environmental forces, assess their size and speed, and identify which internal capabilities can respond. Price changes may require supplier review; competition may require value analysis; customer preferences may require product testing.

Question.

Conclusion and check. The manager should not make three large changes at once. Test the evidence, prioritise material threats and opportunities, and review the effects. Check whether the response improves organisational performance without creating a larger problem elsewhere.

Conclusion and check.

THE CLOSING PACK

Summary. The internal environment contains conditions within the organisation. The external environment includes forces outside it that affect managerial performance. Managers scan, interpret, and respond to these forces. Ethics, social responsibility, and sustainability broaden management beyond short-term internal efficiency.

Summary.

Think it through. A competitor introduces a cheaper product, new regulation raises a cost, and customers request a different service at the same time. Which change should a manager examine first, and what information is needed before acting?

Think it through.

Where people go wrong. Environmental analysis is sometimes treated as a list of factors. A list is not analysis. Managers must connect each factor to the organisation: what changes, what is exposed, what options exist, and how quickly action is required.

Where people go wrong.

In history. The growth of public discussion about corporate responsibility during the twentieth century reflected the expanding social and economic reach of large organisations. Keith Davis's 1960 article framed social responsibility as part of business decision making rather than as a separate charitable activity.¹

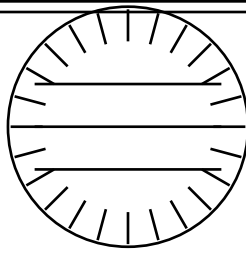
In history.

Sources. Davis, K. (1960), "Can Business Afford to Ignore Social Responsibilities?", *California Management Review*, 2(3), 70-76. The journal record confirms the article's date, volume, issue, and page range.¹

Sources.

REVIEW QUESTIONS

1. Distinguish the internal and external environment.
2. Give one example of each major external environmental force.
3. Why is environmental scanning useful?
4. How does sustainability differ from a short-term environmental action?
5. Why can a legal decision be ethical but not necessarily vice versa?
6. Explain Davis's view of social responsibility in simple terms.



CHAPTER THE THIRD

PLANNING: FROM INTENTION TO ACTION

Before people can act together, they need to know what they are trying to achieve.

Planning is the management function that connects purpose to future action. This chapter builds the planning process slowly, explains types of plans, introduces planning premises, and examines why plans fail.

THE OPENING PUZZLE

Imagine a manager who waits until tomorrow to decide what to do tomorrow. Some decisions can be made that way. Others cannot. What does the organisation gain by thinking ahead?

Imagine a manager who waits until tomorrow to decide what to do tomorrow.

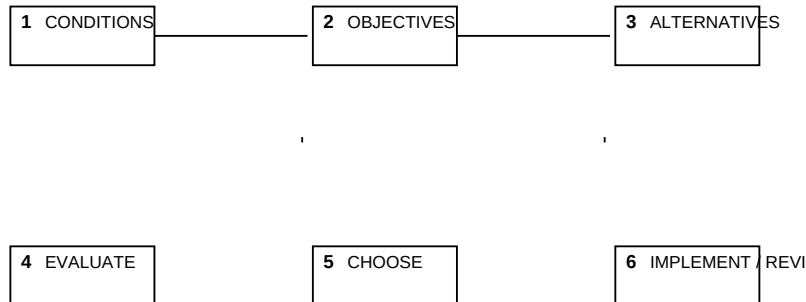


Fig. 3. A six-step planning sequence with review built into implementation.

THE IDEA OF A PLAN

Suppose Harbour Street Bakery expects a busy holiday period. The owner cannot wait until the morning of the first busy day to discover that there is not enough flour, staff, packaging, or oven capacity. The owner must think ahead. That act of thinking ahead is the beginning of planning.

Suppose Harbour Street Bakery expects a busy holiday period.

Planning means deciding in advance what is to be accomplished and how it will be accomplished. A plan therefore connects an intended result with actions, resources, timing, and responsibility. Planning does not remove uncertainty. It gives people a reasoned basis for acting under uncertainty.

Planning means deciding in advance what is to be accomplished and how it will be...

Planning has several purposes. It provides direction, reduces confusion, improves coordination, identifies required resources, creates standards for later control, and encourages managers to consider future conditions. A good plan does not promise certainty. It makes assumptions visible and gives people a structured way to respond when conditions change.

Planning has several purposes.

Planning also has limits. Future conditions are uncertain. Information may be incomplete or costly. A plan can become rigid if managers confuse the plan with reality. Planning may consume time and create false confidence when assumptions are poor. The answer is not to stop planning, but to plan with explicit assumptions, review points, and room for adjustment.

Planning also has limits.

THE PLANNING PROCESS

A useful six-step planning process begins with awareness of the situation and proceeds toward action. First, the manager identifies current conditions and relevant assumptions. Second, objectives are clarified. Third, alternatives are developed. Fourth, alternatives are evaluated. Fifth, a course of action is selected and translated into supporting plans. Sixth, implementation and review begin.

A useful six-step planning process begins with awareness of the situation and...

The first step matters because plans are built on premises. A planning premise is an assumption about a condition that affects a plan, such as expected demand, available staff, supplier reliability, or a likely change in policy. Premises may be external or internal. They should be stated clearly enough that the plan can be revised when a premise changes.

The first step matters because plans are built on premises.

Next comes objective clarification. A plan without a clear result cannot be evaluated properly. The objective should describe what the organisation intends to achieve, for whom, and by when. Then alternatives are considered. Managers should not create an endless list; the purpose is to identify realistic options worth comparing.

Evaluation asks what each alternative requires and what consequences it may produce. Managers consider cost, time, risk, feasibility, capabilities, and likely effects. Selection does not necessarily mean finding a perfect choice. It means choosing a course that fits the objective and the available information. Once selected, the plan must be converted into schedules, responsibilities, resource requirements, and procedures.

Planning continues during implementation. Actual information can show that an original assumption was wrong. Managers should therefore establish review points rather than waiting until the end. A plan that is revised intelligently is not a failed plan. It is an adaptive management tool.

Next comes objective clarification.

Evaluation asks what each alternative requires and what consequences it may produce.

Planning continues during implementation.

TYPES OF PLANS

Plans can be classified in several ways. Strategic plans address broad direction and longer-term priorities. Tactical plans translate broad direction into departmental or functional action. Operational plans focus on recurring or near-term work. The exact time horizon differs by organisation, but the distinction helps managers understand how levels of planning connect.

Standing plans are used repeatedly for recurring situations. Policies, procedures, and rules are common forms. A standing plan reduces the need to reinvent the same decision each time a familiar situation appears. Single-use plans are designed for a specific, non-recurring purpose, such as a project, event, or one-time expansion programme.

Objectives, strategies, policies, procedures, rules, programmes, projects, schedules, and budgets can all form parts of a planning system. They differ in specificity. A broad objective states a desired result. A procedure explains a recurring sequence of actions. A budget converts planned activities into numerical resource requirements. These forms should support one another rather than exist as unrelated documents.

Harbour Street Bakery might use a standing procedure for opening the shop, a policy about customer refunds, a weekly production schedule, and a single-use project plan for fitting a second oven. Each plan exists because the underlying situation is different. The manager must choose the appropriate level of detail rather than writing one enormous document for everything.

Plans can be classified in several ways.

Standing plans are used repeatedly for recurring situations.

Objectives, strategies, policies, procedures, rules, programmes, projects,...

Harbour Street Bakery might use a standing procedure for opening the shop, a...

STANDING AND SINGLE-USE PLANS

Standing plans	Single-use plans
Designed for recurring situations	Designed for a specific non-recurring purpose
Examples: policies, procedures, rules	Examples: projects, special programmes, one-time events
Reduce repeated decision effort	Coordinate a defined temporary task

WHY PLANS FAIL

Plans fail for several reasons. The objective may be unclear. Assumptions may be unrealistic. The manager may ignore important alternatives. People responsible for execution may not understand the plan. Required resources may be unavailable. Environmental change may invalidate the original assumptions. Finally, control may be weak, so managers do not discover deviations early enough to respond.

A planning error can also be psychological. Managers may become attached to a plan because much effort has been invested in it. When evidence changes, they continue defending the old plan instead of revising it. A disciplined planning system treats assumptions as testable statements, not as permanent truths.

Planning becomes more effective when managers involve the people who must implement important parts of the plan. Participation can improve information quality, reveal practical obstacles, and build commitment. Participation does not mean every decision must be made by consensus. It means the plan should be informed by relevant knowledge and explained clearly to those responsible for action.

Review points are another safeguard. A manager can identify leading indicators that signal whether a plan is working. For the bakery, a weekly gap between planned and actual sales may be an early warning. The manager can then investigate rather than waiting for a large quarter-end loss. Good planning and good control therefore strengthen each other.

WORKED CASE: HARBOUR STREET BAKERY

Situation. The bakery expects a festival week to increase demand by 30 percent.

Question. What must the plan contain? **Reasoning.** The manager identifies expected demand as a premise, sets a production objective, considers staffing and supplier alternatives, selects a feasible plan, and creates a schedule. Review points are added because actual demand may differ from the forecast.

Conclusion and check. The best plan is not the most detailed document. It is the plan that links assumptions, objectives, action, responsibility, and review. Check whether each major assumption has a way to be observed and revised.

THE CLOSING PACK

Summary. Planning means deciding in advance what should be achieved and how. The planning process includes understanding conditions, setting objectives, developing and evaluating alternatives, selecting a course of action, implementing it, and reviewing results. Plans may be strategic, tactical, operational, standing, or single-use.

Think it through. A manager creates a detailed six-month plan but does not state the assumptions about demand, staffing, or supplier reliability. What part of the planning process is missing, and why does that matter?

Where people go wrong. Some students treat planning as forecasting. Forecasting is an input to planning, not the whole function. Planning includes choices and action. Another confusion is between standing and single-use plans: the difference is whether the plan is intended for repeated use or a specific non-recurring purpose.

Plans fail for several reasons.

A planning error can also be psychological.

Planning becomes more effective when managers involve the people who must...

Review points are another safeguard.

Situation.

Question.

Conclusion and check.

Summary.

Think it through.

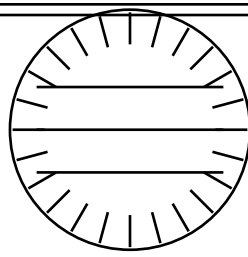
Where people go wrong.

In history. Modern management developed an increasing interest in formal planning as organisations became larger and more complex. The continuing lesson is not that longer plans are better. It is that explicit assumptions, clear objectives, and review improve the quality of coordinated action.

In history.

REVIEW QUESTIONS

1. Define planning.
2. State the six broad steps in a planning process.
3. What is a planning premise?
4. Distinguish standing plans from single-use plans.
5. Give three reasons plans fail.
6. How can review points make planning more effective?



CHAPTER THE FOURTH

OBJECTIVES AND MANAGEMENT BY OBJECTIVES

A plan can move people only when the destination is understood.

Objectives convert broad purpose into specific results. This chapter explains their nature, the eight classic areas for organisational objectives, and Management by Objectives as a recurring cycle of agreement, action, review, and renewal.

THE OPENING PUZZLE

Imagine ten employees working hard toward ten different targets. The effort may be real, but what result will the organisation actually get? Objectives exist to answer that question.

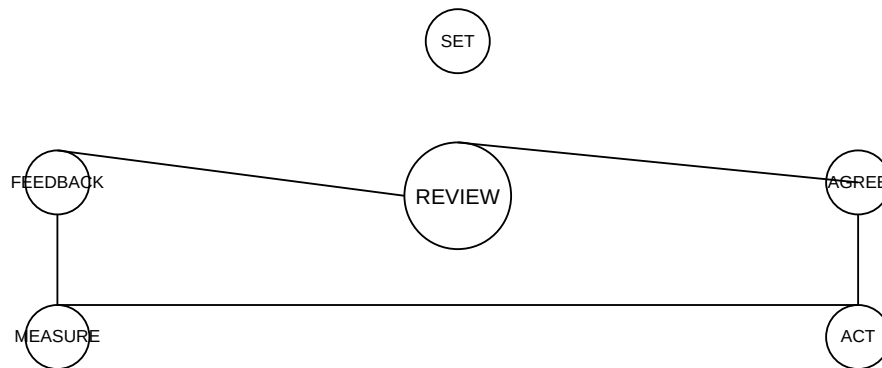


Fig. 4. Management by Objectives works as a recurring cycle.

WHAT AN OBJECTIVE DOES

An objective is a desired result that gives direction to action. A purpose may be broad, while an objective narrows attention to something that can be pursued and later assessed. For example, "serve customers well" is a useful purpose, but an objective might specify a service response time, quality target, or customer retention result.

Objectives perform several functions. They guide decisions, help coordinate different departments, motivate attention, provide criteria for judging results, and support control. Without objectives, managers can be busy without knowing whether their effort contributes to the organisation's purpose.

Good objectives are understandable and relevant. They should also be challenging enough to matter but realistic enough to be pursued. Where measurement is possible, a quantitative target can improve clarity. Where measurement is difficult, a qualitative statement may still be useful if the intended result is defined carefully.

Objectives exist at different levels. Organisational objectives concern the enterprise as a whole. Functional objectives concern areas such as production, marketing, finance, or human resources. Individual objectives concern particular roles. A useful system links these levels so that lower-level actions support broader aims rather than pulling the organisation in different directions.

EIGHT AREAS FOR ORGANISATIONAL OBJECTIVES

A classic management framework associated with Peter Drucker identifies several key areas in which organisations should set objectives. These include market standing, innovation, productivity, physical and financial resources, profitability, manager performance and development, worker performance and attitude, and public responsibility. The value of the list is breadth: organisations should not define success through one financial measure alone.

Market standing concerns the organisation's position relative to customers and competitors. Innovation concerns new products, methods, services, or organisational improvements. Productivity concerns the relationship between outputs and resources. Physical and financial resources concern the assets and funds required for continued operation.

Imagine ten employees working hard toward ten different targets.

An objective is a desired result that gives direction to action.

Objectives perform several functions.

Good objectives are understandable and relevant.

Objectives exist at different levels.

A classic management framework associated with Peter Drucker identifies several...

Market standing concerns the organisation's position relative to customers and...

Profitability concerns financial returns, but profitability is one area among several. Manager performance and development recognises that managers must themselves improve. Worker performance and attitude recognises that employees affect organisational capability. Public responsibility recognises obligations to society and the wider environment in which the organisation operates.

The eight areas are not a checklist that every organisation must use in identical form. They are a way of testing whether objective setting is too narrow. Harbour Street Bakery might set financial objectives while also setting quality, employee development, product innovation, and customer service objectives. The combination gives a more balanced picture of organisational health.

EIGHT CLASSIC AREAS FOR OBJECTIVES

Area	What it asks
Market standing	What position should we hold with customers and competitors?
Innovation	What new products, services, methods, or improvements are needed?
Productivity	How well are resources turned into useful output?
Physical and financial resources	What assets and funds are required?
Profitability	What financial return is required?
Manager performance and development	How will managers improve and contribute?
Worker performance and attitude	How will employee contribution and work climate develop?
Public responsibility	What obligations toward society should be recognised?

MANAGEMENT BY OBJECTIVES

Management by Objectives (MBO) is a management approach in which managers and employees work with agreed objectives and use those objectives to guide action and assess results. The important idea is not the form or software used to record objectives. It is the cycle of participation, clarity, performance, and review.

The MBO process can be shown as a cycle. The organisation establishes broad aims. Managers and employees translate them into more specific objectives. Action plans are prepared. Performance is carried out. Progress is reviewed. Feedback is given. Objectives are revised or renewed for the next period. The cycle links planning and control through shared targets.

Suppose the bakery wants to reduce order errors. A manager and employee might agree on a target for order accuracy over a defined period. The employee helps identify causes, such as unclear labels or a rushed handover. The action plan addresses those causes. At review time, the manager and employee compare actual results with the agreed objective and decide what to continue or change.

MBO can improve clarity because people know what result they are expected to produce. It can also improve communication and make feedback more concrete. However, MBO can fail when objectives are imposed without discussion, when measurement dominates judgement, when objectives conflict, or when managers treat the process as paperwork instead of as a management conversation.

Profitability concerns financial returns, but profitability is one area among...

The eight areas are not a checklist that every organisation must use in identical...

Management by Objectives (MBO) is a management approach in which managers and...

The MBO process can be shown as a cycle.

Suppose the bakery wants to reduce order errors.

MBO can improve clarity because people know what result they are expected to produce.

SETTING OBJECTIVES WELL

Objective setting requires more than choosing a number. Managers should ask: What exactly is to be achieved? Why does it matter? How will it be measured? Who is responsible? What resources are required? What assumptions apply? When will progress be reviewed? These questions make an objective operational.

Objectives should be consistent across levels. If senior management wants service quality but supervisors are rewarded only for speed, employees receive conflicting signals. An objective system must therefore align measures, resources, and responsibilities. The purpose is not mathematical perfection. It is reduction of avoidable conflict.

Managers should also consider trade-offs. Increasing product variety can help customers but increase complexity. Raising output can improve sales but reduce quality if capacity is not expanded. A good objective system makes such trade-offs visible. It does not pretend that every objective can improve at the same time.

Harbour Street Bakery adds a new objective: reduce waste while maintaining product quality. The manager defines a waste measure, assigns responsibility, reviews causes weekly, and checks that lower waste is not being achieved by under-producing needed items. The objective becomes useful because it is connected to a larger picture rather than measured in isolation.

Objective setting requires more than choosing a number.

Objectives should be consistent across levels.

Managers should also consider trade-offs.

Harbour Street Bakery adds a new objective: reduce waste while maintaining...

WORKED CASE: HARBOUR STREET BAKERY

Situation. Management wants to reduce waste, improve service speed, and increase sales during the same quarter.

Question. How should objectives be set? Reasoning. Each objective should be clear, connected to the broader purpose, and assigned to a responsible role. Managers should also examine conflicts: a push for speed must not lower quality, and waste reduction must not create stock-outs.

Conclusion and check. An MBO cycle can turn the broad aims into agreed targets, action plans, progress reviews, and feedback. Check whether employees can explain the objective, the reason for it, and the evidence that will show progress.

Situation.

Question.

Conclusion and check.

THE CLOSING PACK

Summary. Objectives state desired results and guide action, coordination, motivation, and control. A balanced objective system covers several dimensions of organisational performance. MBO uses agreed objectives in a cycle of planning, action, review, and renewal. MBO is useful when objectives are clear, aligned, measurable where appropriate, and discussed honestly.

Think it through. A manager rewards employees only for reducing costs. Six months later, customer complaints have increased. What does this reveal about objective design?

Where people go wrong. MBO is sometimes mistaken for a list of targets. The management system includes agreement, planning, action, monitoring, feedback, and renewal. Another mistake is assuming that every important result can be reduced to one number.

Summary.

Think it through.

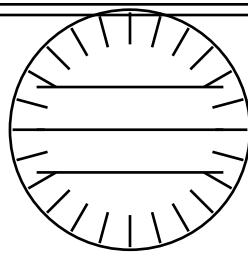
Where people go wrong.

In history, Peter Drucker's work helped popularise results-oriented management and the idea that managers should clarify objectives and connect them to performance. The lasting lesson is that organisational effort becomes easier to coordinate when people know what results matter and why.

In history.

REVIEW QUESTIONS

1. What is an objective?
2. Why should objectives exist at several organisational levels?
3. List the eight classic areas in which objectives may be set.
4. Explain MBO as a cycle.
5. State three benefits and three weaknesses of MBO.
6. Write one well-defined objective for Harbour Street Bakery.



CHAPTER THE FIFTH

DECISION MAKING

Managers are paid not only for activity, but for choosing among possibilities.

Decision making connects information to action. This chapter explains the rational process, decision conditions, managerial limits, group decisions, decision support, and simple decision trees and probability.

THE OPENING PUZZLE

Imagine two managers facing the same problem. One makes a fast choice from habit. The other defines the problem, compares alternatives, and checks the consequences. Which process gives the organisation a better chance of learning?

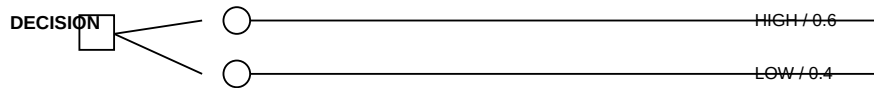


Fig. 5. A simple decision tree separates choice from uncertain outcomes.

WHAT A DECISION IS

Decision making means choosing a course of action from available alternatives. A decision therefore contains at least three elements: a situation that requires choice, alternatives among which to choose, and criteria used to judge those alternatives. Without alternatives, there is no meaningful choice. Without criteria, the choice becomes arbitrary.

Managers make decisions about goals, resources, people, schedules, quality, investment, suppliers, customers, structure, and risk. Some decisions are routine and can be supported by standing plans. Others are unusual and require judgement. The managerial challenge is not to make every decision perfectly. It is to improve the quality of choices while recognising limits of time, information, and human attention.

Harbour Street Bakery must decide whether to purchase a second oven. The options may include buying now, delaying the purchase, renting equipment, or reorganising production. The relevant criteria could include cost, capacity, expected demand, reliability, staff capability, and flexibility. A sensible process makes those criteria explicit before the choice is made.

THE RATIONAL DECISION PROCESS

A common rational process begins by identifying the problem or opportunity. The manager then establishes decision criteria, assigns importance to those criteria, develops alternatives, analyses the alternatives, selects one, implements it, and evaluates the outcome. The process looks orderly because it is a model of disciplined thinking, not a promise that real life is fully orderly.

Problem identification deserves care. A visible symptom may not be the real problem. Falling sales might reflect poor promotion, product mismatch, stock-outs, service delays, or a change in the market. If managers solve the wrong problem, even a technically excellent choice can produce poor results.

Alternative development also requires attention. Managers often compare the first reasonable option with no option at all. Better practice is to identify a small set of realistic alternatives. The purpose is not endless creativity. It is to avoid mistaking the first idea for the only idea.

Imagine two managers facing the same problem.

Decision making means choosing a course of action from available alternatives.

Managers make decisions about goals, resources, people, schedules, quality,...

Harbour Street Bakery must decide whether to purchase a second oven.

A common rational process begins by identifying the problem or opportunity.

Problem identification deserves care.

Alternative development also requires attention.

Evaluation can include financial, operational, human, legal, ethical, and strategic consequences. A manager should consider direct and indirect effects. After implementation, results should be monitored. If the decision produces an unexpected outcome, the manager learns from it and updates future decisions.

Evaluation can include financial, operational, human, legal, ethical, and...

CONDITIONS AND LIMITS

Decisions are often described under three conditions: certainty, risk, and uncertainty. Under certainty, the manager knows the relevant facts and the outcomes associated with alternatives. Under risk, the possible outcomes can be identified and probabilities can be estimated. Under uncertainty, outcomes or probabilities are not known with enough confidence for reliable calculation.

Decisions are often described under three conditions: certainty, risk, and...

Real managerial decisions rarely fit perfectly into one category. Even when probabilities are available, they may be estimates rather than physical facts. Managers also face time pressure, incomplete information, conflicting objectives, cognitive limits, and organisational politics. This is why rational decision making is best understood as a disciplined ideal rather than a claim that managers can become perfectly rational machines.

Real managerial decisions rarely fit perfectly into one category.

Bounded rationality describes decision making under limitations of information, time, attention, and cognitive capacity. A manager may search until a satisfactory option is found rather than evaluate every theoretically possible option. Satisficing means choosing an alternative that is good enough to meet a threshold rather than searching indefinitely for a perfect choice.

Bounded rationality describes decision making under limitations of information,...

Other factors matter too. Experience can help a manager recognise patterns quickly, but experience can also create bias. Emotions can provide information about concern or urgency, but they can also distort judgement. Organisational incentives can push decisions toward measured targets. Good decision processes therefore combine analysis with awareness of human and organisational limits.

Other factors matter too.

DECISION CONDITIONS

Condition	What the manager knows
Certainty	Outcomes of alternatives are sufficiently known
Risk	Possible outcomes and estimated probabilities are available
Uncertainty	Outcomes or probabilities cannot be estimated with useful confidence

GROUP DECISIONS AND DECISION SUPPORT

Group decision making has advantages when a problem is complex and relevant knowledge is distributed across several people. Groups can provide more information, generate more alternatives, increase acceptance of a decision, and reveal operational problems that a single manager may miss. The costs include time, pressure to conform, conflict, coordination difficulty, and the possibility of groupthink.

Group decision making has advantages when a problem is complex and relevant...

A manager should choose group decision making when participation is likely to improve the quality or implementation of the decision. A simple routine decision may not need a meeting. A cross-functional problem involving production, customers, finance, and staffing may benefit from several perspectives. The method should match the problem.

Decision support systems (DSS) are information systems designed to help managers analyse data and alternatives. A DSS does not replace managerial judgement. It can improve the availability of relevant information, comparisons, forecasts, or what-if analysis. The quality of a decision still depends on the quality of the model, the assumptions, and the interpretation of outputs.

A useful distinction is between information and decision authority. A dashboard can show that waste increased. It cannot by itself decide why waste increased or which corrective action is acceptable. Technology can widen a manager's view, but responsibility for interpretation and action remains a management task.

A manager should choose group decision making when participation is likely to...

Decision support systems (DSS) are information systems designed to help managers...

A useful distinction is between information and decision authority.

PROBABILITY AND DECISION TREES

When outcomes involve risk, probability can help compare alternatives. Probability expresses the likelihood of an outcome. If an event has probability 0.6, the model assigns a 60 percent likelihood to that event. Probabilities should add to 1 when they cover all mutually exclusive outcomes of a decision situation.

A decision tree is a diagram that shows decision points, chance events, outcomes, and paths between them. The tree helps managers separate what they control from what they do not control. To illustrate, suppose a bakery can make a larger investment that yields Tk 40,000 if demand is high and loses Tk 10,000 if demand is low. If the estimated probabilities are 0.6 and 0.4, the expected monetary value is: $0.6 \times 40,000 + 0.4 \times (-10,000) = 20,000$.

A smaller option might yield Tk 25,000 in high demand and Tk 5,000 in low demand. Its expected value would be $0.6 \times 25,000 + 0.4 \times 5,000 = 17,000$. Under the specific assumptions of this example, the larger investment has the higher expected monetary value. But the calculation does not prove that it is universally the better choice. Risk tolerance, liquidity, strategic flexibility, and the quality of the probability estimates also matter.

The value of the decision tree is therefore not only the arithmetic. It forces assumptions into the open. A manager can ask where the probabilities came from, whether the outcomes are complete, and which variables matter most. Good quantitative decision tools improve thinking when their assumptions are understood.

When outcomes involve risk, probability can help compare alternatives.

A decision tree is a diagram that shows decision points, chance events, outcomes,...

A smaller option might yield Tk 25,000 in high demand and Tk 5,000 in low demand.

The value of the decision tree is therefore not only the arithmetic.

WORKED CASE: HARBOUR STREET BAKERY

Situation. The bakery must decide whether to buy a second oven before the busy season.

Question. Which decision process should be used? Reasoning. Define the capacity problem, list alternatives, identify criteria, estimate demand and costs, consider risks, and compare the alternatives. A decision tree can show high- and low-demand outcomes, while qualitative review considers cash pressure and operational flexibility.

Situation.

Question.

Conclusion and check. Choose only after the assumptions are visible. Check how sensitive the decision is to the demand estimate; if a small change reverses the result, the decision deserves extra analysis.

Conclusion and check.

THE CLOSING PACK

Summary. Decision making is the choice of action from alternatives. The rational process includes problem identification, criteria, alternatives, evaluation, selection, implementation, and review. Managers decide under certainty, risk, or uncertainty and face bounded rationality. Groups and decision support can improve decisions in appropriate situations. Decision trees and probability make assumptions visible when risk can be estimated.

Summary.

Think it through. A manager has excellent data but chooses the wrong problem to solve. Why can better data fail to produce a better decision?

Think it through.

Where people go wrong. Probability is not certainty. An expected value is a calculated average under assumptions; it is not a promise about the outcome of one event. Another mistake is treating group decisions as automatically better. Groups improve some decisions and worsen others.

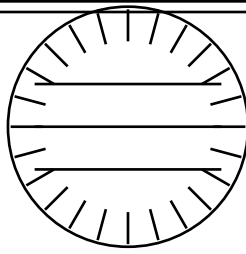
Where people go wrong.

In history. Formal approaches to decision analysis developed as organisations gained access to better statistics, operations research, and computing. Modern managers still combine these tools with judgement because organisational decisions contain human and strategic factors that models cannot fully capture.

In history.

REVIEW QUESTIONS

1. What are the basic elements of a decision situation?
2. State the steps in rational decision making.
3. Distinguish certainty, risk, and uncertainty.
4. What is bounded rationality?
5. When should a group be used for decision making?
6. Explain how a decision tree and expected value can assist a manager.



CHAPTER THE SIXTH

ORGANISING WORK AND AUTHORITY

Plans become real only when people, resources, and authority are arranged.

Organising converts plans into a structure for action.
This chapter covers formal and informal organisation,
structures and models, span of management,
departmentalisation, delegation, authority,
centralisation, decentralisation, and coordination.

THE OPENING PUZZLE

Imagine a plan that says what should happen but does not state who is responsible. The plan is clear in theory and impossible in practice. Organising exists to close that gap.

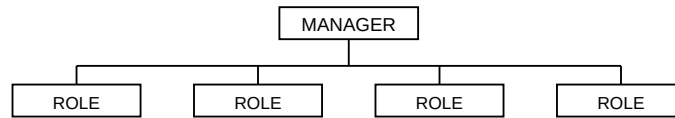


Fig. 6. A simple hierarchy illustrates formal reporting relationships.

MEANING AND PURPOSE OF ORGANISING

Organising means arranging work, people, authority, and resources so that planned objectives can be achieved. Planning answers what should be done and, broadly, how. Organising establishes who does what, who reports to whom, what authority is attached to each role, and how separate activities connect.

The organising process can be expressed as a sequence: identify necessary work; group related activities; assign responsibilities; establish authority relationships; and create coordination mechanisms. The process turns a list of tasks into a system of roles. It does not mean drawing an organisation chart and stopping there. A chart shows formal relationships, but effective organising also depends on communication and cooperation.

Harbour Street Bakery may begin with one general team. As it grows, production, purchasing, sales, and administration become more specialised. The owner must decide whether each area should report directly to the owner or whether a production supervisor and service supervisor should coordinate their own areas. Structure becomes a practical response to increasing complexity.

Organisation structure should fit the work. A highly standardised operation may benefit from clearer rules and specialised roles. A creative team may need more flexibility. The manager therefore chooses an organisational arrangement rather than assuming one structure is correct for every situation.

FORMAL AND INFORMAL ORGANISATION

A formal organisation is the deliberately established pattern of roles, responsibilities, authority, and reporting relationships. It is expressed in structures, policies, job responsibilities, and official communication channels. A formal structure helps employees understand accountability and coordination.

An informal organisation is the network of personal relationships, social groups, friendships, and unofficial communication that develops among members. Informal groups can help employees exchange information quickly, provide support, and build belonging. They can also spread rumours, resist change, or create group pressures that conflict with formal objectives.

Imagine a plan that says what should happen but does not state who is responsible.

Organising means arranging work, people, authority, and resources so that planned...

The organising process can be expressed as a sequence: identify necessary work;...

Harbour Street Bakery may begin with one general team.

Organisation structure should fit the work.

A formal organisation is the deliberately established pattern of roles,...

An informal organisation is the network of personal relationships, social groups,...

Formal and informal organisation are not opposites that require one to be eliminated. Every organisation contains both. Managers who ignore informal relationships may misunderstand how work really gets done. Managers who abandon formal structure may create confusion about accountability. Effective management recognises the value and risks of each system.

People join informal groups for many reasons: friendship, security, status, identity, common interests, emotional support, or practical help. A manager can use this knowledge positively by improving communication and trust rather than attempting to control every informal relationship.

Formal and informal organisation are not opposites that require one to be eliminated.

People join informal groups for many reasons: friendship, security, status,...

STRUCTURE, BUREAUCRACY, AND BEHAVIOURAL MODELS

An organisation can be designed around functions, products, geography, customers, processes, or combinations of these. Departmentalisation means grouping jobs into departments. Functional departmentalisation might create production, marketing, finance, and human resource departments. Product departmentalisation groups people around product lines. Each basis offers benefits and costs.

A bureaucratic model emphasises formal roles, hierarchy, rules, specialisation, and consistency. Its strengths include clarity, predictability, and control. Its weaknesses can include rigidity, slow communication, and excessive attention to procedure. A behavioural model gives greater attention to people, groups, motivation, participation, and informal relationships. Its strengths include adaptability and attention to human needs, while its risks include ambiguity or weak coordination if formal responsibilities are neglected.

Neither model should be treated as a complete substitute for the other. Organisations need enough structure to coordinate work and enough behavioural awareness to understand how people actually behave. The balance changes with the environment, technology, strategy, size, and nature of the work.

Situational factors therefore influence design. Environmental uncertainty may favour more flexible arrangements. Standardised technology may support specialised routines. Organisational size can increase the need for differentiated roles and coordination. Strategy also matters: a strategy based on innovation may need more lateral communication than a strategy based on highly standardised operations.

An organisation can be designed around functions, products, geography, customers,...

A bureaucratic model emphasises formal roles, hierarchy, rules, specialisation,...

Neither model should be treated as a complete substitute for the other.

Situational factors therefore influence design.

SPAN, AUTHORITY, AND DELEGATION

Span of management means the number of subordinates reporting directly to a manager. A wide span means one manager supervises many people. A narrow span means fewer direct reports. There is no universal correct number. The appropriate span depends on task similarity, employee competence, manager capability, geographic distance, standardisation, communication systems, and the amount of coordination required.

Authority is the formal right to make decisions, direct work, and require compliance within a defined role. Power is the broader ability to influence behaviour, which may come from authority or from other sources such as expertise or personal credibility. Authority is therefore one source of power, not the whole concept.

Span of management means the number of subordinates reporting directly to a manager.

Authority is the formal right to make decisions, direct work, and require...

Delegation means assigning responsibility for a task and giving the subordinate appropriate authority to perform it while the manager retains ultimate accountability. Effective delegation requires clear outcomes, sufficient authority, competence, and follow-up. Managers sometimes resist delegation because they fear loss of control, believe they can do tasks faster themselves, or do not trust the subordinate. Employees may also resist when instructions are unclear or responsibility exceeds authority.

Line authority exists along the direct chain of command. Staff authority provides specialised advice or support. Functional authority gives a specialist limited authority over specific activities outside the specialist's normal line relationship. These forms can coexist, but their boundaries must be clear to avoid conflicting instructions.

Delegation means assigning responsibility for a task and giving the subordinate...

Line authority exists along the direct chain of command.

AUTHORITY AND POWER

Concept	Meaning
Authority	Formal right attached to a role to direct and decide within its scope
Power	Ability to influence behaviour, from authority or other sources
Delegation	Assignment of responsibility with appropriate authority while accountability remains

CENTRALISATION, DECENTRALISATION, AND COORDINATION

Centralisation means that decision authority is concentrated at higher levels. Decentralisation means that significant decision authority is distributed to lower levels or units. Centralisation can improve consistency and control. Decentralisation can improve speed, local responsiveness, and employee development. Each also carries risks: centralisation can overload senior managers, while decentralisation can create inconsistency or duplication.

Departmentalisation and decentralisation are related but not identical. Creating departments groups work; decentralisation concerns where decision authority is located. A company can have many departments and still keep most decisions at the top. It can also distribute authority among departments without changing every feature of its structure.

Coordination means integrating the efforts of separate people or units so that activities fit together. Division of labour increases the need for coordination because specialised work becomes interdependent. Coordination can be supported by hierarchy, rules, plans, budgets, committees, liaison roles, teams, cross-functional meetings, information systems, and shared objectives.

Harbour Street Bakery may separate purchasing, production, and sales because the tasks are specialised. Coordination is then required so that sales information reaches production and purchasing before stock runs out. Coordination is therefore not an extra activity added after organising. It is part of organising itself.

Centralisation means that decision authority is concentrated at higher levels.

Departmentalisation and decentralisation are related but not identical.

Coordination means integrating the efforts of separate people or units so that...

Harbour Street Bakery may separate purchasing, production, and sales because the...

WORKED CASE: HARBOUR STREET BAKERY

Situation. The bakery has separate production, sales, and purchasing staff, but all three groups wait for the owner to make routine decisions.

Situation.

Question. What organising problem exists? Reasoning. Authority has not been distributed to match responsibility. Delegation can move appropriate decisions closer to the work, while coordination mechanisms can keep the departments aligned.

Conclusion and check. Clarify roles, reporting lines, and decision rights. Check whether employees now have enough authority to complete assigned work and whether cross-functional information reaches the people who need it.

THE CLOSING PACK

Summary. Organising arranges work, people, authority, and resources. Formal organisation provides deliberate structure; informal organisation develops through relationships. Structure may be bureaucratic, behavioural, functional, product-based, or mixed. Span, departmentalisation, authority, delegation, centralisation, decentralisation, and coordination are connected design choices.

Think it through. A sales manager has twenty direct reports and spends most of the day answering routine questions. What structural factors should be examined before the organisation simply adds another supervisor?

Where people go wrong. Delegation does not mean the manager transfers final accountability. The manager assigns responsibility and authority but remains accountable for the organisational result. Another mistake is treating a wide span as always efficient. It is efficient only when the manager can supervise and coordinate effectively.

In history. Large organisations have repeatedly developed formal structures because scale increases the need for predictable coordination. The later growth of behavioural thinking showed that charts and rules do not explain all organisational behaviour. Modern organising combines formal design with attention to people and relationships.

Question.

Conclusion and check.

Summary.

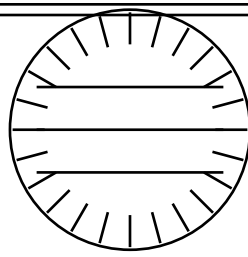
Think it through.

Where people go wrong.

In history.

REVIEW QUESTIONS

1. Define organising.
2. Distinguish formal and informal organisation.
3. Compare bureaucratic and behavioural models.
4. What factors affect span of management?
5. Distinguish authority from power.
6. Explain delegation, centralisation, decentralisation, and coordination.



CHAPTER THE SEVENTH

LEADING PEOPLE

A structure can assign work, but people decide how seriously that work will be performed.

Leading concerns the human side of management. This chapter explains human factors, motivation, Theory X and Theory Y, leadership approaches, power, emotional intelligence, creativity, innovation, and informal groups.

THE OPENING PUZZLE

Imagine a supervisor with formal authority but little trust. Instructions are technically valid, yet employees respond slowly and avoid responsibility. What turns formal authority into effective influence?

Imagine a supervisor with formal authority but little trust.

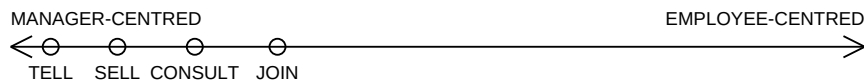


Fig. 7. The Tannenbaum-Schmidt continuum represents a range of participation.

HUMAN FACTORS IN MANAGEMENT

Organisations are social systems. Employees bring needs, values, skills, emotions, expectations, and previous experiences to work. A manager therefore cannot treat human behaviour like a machine variable that behaves identically every day. The same instruction can produce different responses depending on trust, workload, skill, incentives, group norms, and perceived fairness.

Organisations are social systems.

Leading means influencing people so that they contribute toward organisational objectives. Leadership is not limited to a formal title. A manager may have formal authority, but influence also depends on credibility, communication, competence, and relationships. This explains why management and leadership overlap without being identical.

Leading means influencing people so that they contribute toward organisational...

A manager should distinguish between a performance problem and an ability or system problem. An employee who lacks training needs development, not merely pressure. An employee who understands the task but faces impossible workload has a resource problem. A team with conflicting incentives has a design problem. Effective leading starts with diagnosis.

A manager should distinguish between a performance problem and an ability or...

Human factors also include group behaviour. People compare their treatment with others, respond to norms, and often interpret managerial actions as signals about what the organisation values. Consistent communication and fair processes can therefore shape behaviour even when managers cannot observe every action.

Human factors also include group behaviour.

MOTIVATION AND THE NEEDS-GOAL IDEA

Motivation means the forces that influence the direction, intensity, and persistence of behaviour. Managers study motivation because employees may possess the same ability but produce different levels of effort, attention, and persistence. Motivation is influenced by needs, goals, expectations, rewards, fairness, job design, and the work environment.

Motivation means the forces that influence the direction, intensity, and...

A simple needs-goal model can be described as follows: a need creates tension; the person identifies or accepts a goal; behaviour is directed toward the goal; performance produces a result; and the result affects satisfaction and future behaviour. The model is a teaching device, not a claim that every person behaves in the same sequence every time.

A simple needs-goal model can be described as follows: a need creates tension;...

Harbour Street Bakery can illustrate the cycle. An employee may want greater responsibility. A clear development goal is agreed, such as mastering a new production process. Training and effort follow. If performance improves and the employee sees a credible path to greater responsibility, motivation may strengthen. If the promised opportunity never appears, the same cycle may weaken future effort.

Managers should therefore design jobs and feedback systems so that effort can lead to performance and performance can lead to valued outcomes. Motivation cannot be created by slogans alone. People judge whether goals are realistic, whether rewards are meaningful, and whether managerial actions are consistent with what is promised.

Harbour Street Bakery can illustrate the cycle.

Managers should therefore design jobs and feedback systems so that effort can...

MASLOW AND THEORY X AND THEORY Y

Abraham Maslow published "A Theory of Human Motivation" in 1943 and proposed a hierarchy of human needs. The commonly taught levels are physiological needs, safety, belongingness, esteem, and self-actualisation.² The hierarchy is useful as a framework for thinking about different kinds of need, but managers should not assume that every person moves through the levels in one rigid order.

Abraham Maslow published "A Theory of Human Motivation" in 1943 and proposed a...

Managers can use the hierarchy as a set of questions. Is the work physically sustainable? Do people feel reasonably secure? Do they belong to the group? Do they receive respect and recognition? Does the work provide opportunity for growth and fulfilment? These questions may reveal barriers that a financial incentive alone cannot solve.

Managers can use the hierarchy as a set of questions.

Douglas McGregor's Theory X and Theory Y present two contrasting sets of assumptions about people at work. Theory X assumptions emphasise external control and the idea that people tend to avoid work and responsibility. Theory Y assumes that work can be natural, that people can exercise self-direction, and that commitment can grow when conditions support it. McGregor presented these as assumptions shaping managerial practice, not as a simple test assigning employees to one category. His book "The Human Side of Enterprise" was published in 1960.³

Douglas McGregor's Theory X and Theory Y present two contrasting sets of...

The managerial lesson is to examine the assumptions behind practice. If a manager assumes employees will avoid every responsibility, the system may become highly controlling. The resulting behaviour can then appear to confirm the original assumption. A more developmental system may create opportunities for responsibility and learning, while still maintaining standards and accountability.

The managerial lesson is to examine the assumptions behind practice.

LEADERSHIP STYLES, POWER, AND THE TANNENBAUM-SCHMIDT CONTINUUM

Leadership style describes a recurring pattern in how a leader makes decisions and interacts with followers. A common basic distinction is between more autocratic behaviour, where the manager retains most decision authority, and more participative behaviour, where employees have greater involvement. Different situations can justify different degrees of participation.

Leadership style describes a recurring pattern in how a leader makes decisions...

Tannenbaum and Schmidt described leadership behaviour as a continuum linked to the amount of authority used by the manager and the amount of freedom given to subordinates. Their 1958 article, "How to Choose a Leadership Pattern," is a classic reference for this continuum.⁴ The model is valuable because it discourages the false idea that managers must choose only between "autocratic" and "democratic" leadership.

Tannenbaum and Schmidt described leadership behaviour as a continuum linked to...

Leadership power can come from several sources. Legitimate power comes from formal position. Reward power comes from the ability to provide valued outcomes. Coercive power comes from the ability to impose penalties. Expert power comes from knowledge or skill. Referent power comes from identification, respect, or admiration. A manager with modest formal authority can still have strong influence through expertise or trust.

Leaders should consider the people, task, time pressure, information, risk, and need for commitment before choosing a style. A safety emergency may require rapid direction. A product-design problem may benefit from participation. The question is not which style is universally superior, but which pattern fits the situation and the purpose of the decision.

FIVE COMMON BASES OF POWER

Power base	Source of influence
Legitimate	Formal position or role
Reward	Ability to provide valued outcomes
Coercive	Ability to impose penalties
Expert	Specialised knowledge or skill
Referent	Respect, identification, or admiration

TRANSFORMATION, COACHING, SUPER LEADERSHIP, AND EI

Transformational leadership refers to leadership that seeks significant change in followers and the organisation by building commitment to a broader purpose, encouraging new thinking, and developing people. Coaching emphasises helping employees improve skill, judgement, and independence. Super leadership focuses strongly on helping people lead themselves by building self-management capability rather than creating dependence on the manager.

Emotional intelligence is commonly discussed as the capacity to recognise and manage one's own emotions and to understand the emotions and relationships of others. Practical elements often include self-awareness, self-regulation, empathy, and relationship skills. Emotional intelligence matters because leadership involves conflict, feedback, pressure, trust, and communication as well as task allocation.

Creativity and innovation also belong to leading. Creativity is the generation of ideas that may be new or useful. Innovation is the implementation of useful ideas. A manager who wants innovation should create conditions in which people can propose ideas, test them, learn from failure, and improve them without lowering necessary standards.

Informal groups are part of leadership because people often influence one another outside the formal chart. A manager who understands group norms can use communication and participation to build constructive relationships. A manager who ignores informal networks may discover that an official message is being interpreted in a completely different way among employees.

WORKED CASE: HARBOUR STREET BAKERY

Situation. A supervisor orders employees to change a process. They comply in the moment but quietly return to the old method.

Leadership power can come from several sources.

Leaders should consider the people, task, time pressure, information, risk, and...

Transformational leadership refers to leadership that seeks significant change in...

Emotional intelligence is commonly discussed as the capacity to recognise and...

Creativity and innovation also belong to leading.

Informal groups are part of leadership because people often influence one another...

Situation.

Question. What is missing? Reasoning. Formal authority exists, but commitment and understanding are weak. The supervisor should diagnose the reason for resistance, explain the objective, invite relevant employee knowledge, and decide how much participation the situation permits.

Conclusion and check. Leadership requires both direction and influence. Check whether employees understand the purpose, have the required capability, and believe the manager will apply the new standard consistently.

THE CLOSING PACK

Summary. Leading influences people toward organisational goals. Motivation explains why effort and persistence vary. Maslow offers a needs framework; McGregor examines managerial assumptions through Theory X and Theory Y. Leadership can vary in the degree of authority and participation. Power comes from more than formal position. Emotional intelligence, coaching, creativity, and informal groups shape effective leadership.

Think it through. A manager faces a routine safety problem that must be fixed immediately and a separate product-development problem requiring employee ideas. Should the same leadership pattern be used in both situations? Explain.

Where people go wrong. Leadership style is not a personality label. A manager can use different behaviours in different situations. Another mistake is to confuse motivation with reward only. People may be influenced by meaning, growth, fairness, belonging, recognition, and autonomy as well as money.

In history. Leadership research moved from searching for personal traits toward studying behaviours and later the fit between leadership and situation. Tannenbaum and Schmidt's continuum is an important illustration of this shift from a single "best" style toward a range of patterns.

Question.

Conclusion and check.

Summary.

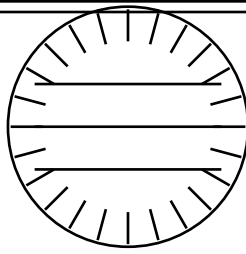
Think it through.

Where people go wrong.

In history.

REVIEW QUESTIONS

1. Define motivation.
2. Explain the needs-goal idea.
3. State the commonly taught levels in Maslow's hierarchy.
4. Contrast Theory X and Theory Y as managerial assumptions.
5. Explain the Tannenbaum-Schmidt continuum.
6. What are the five common bases of power?
7. Why might emotional intelligence matter to leadership?



CHAPTER THE EIGHTH

CONTROLLING PERFORMANCE

A plan is useful only if managers can see what happens after the plan begins.

Controlling closes the management loop. This chapter explains standards, measurement, comparison, corrective action, three basic control timings, common methods, barriers, and the relationship between planning and control.

THE OPENING PUZZLE

Imagine a plan that looks excellent on paper. Three months later the results differ from the plan. Has the manager failed, or has the organisation received useful information? Controlling determines what happens next.

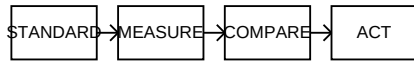


Fig. 8. Controlling links standards, measurement, comparison, and action.

WHAT CONTROLLING MEANS

Controlling means monitoring organisational performance, comparing actual results with standards or plans, and taking corrective action when necessary. Controlling does not mean searching for blame. Its purpose is to keep activities aligned with objectives and to provide information for improvement.

A simple control relationship is: planned performance -> actual performance -> comparison -> corrective action -> revised performance. Control therefore depends on planning. Without objectives or standards, managers do not know what result is expected. Without measurement, managers cannot compare. Without action, information has little value.

The controller in this relationship may be a line manager, supervisor, specialist, or sometimes a dedicated control function. The important point is responsibility for the control activity. A finance controller may provide information, but operational managers remain responsible for managing the activities that produce results.

Harbour Street Bakery might set a weekly standard for product waste. At the end of the week, actual waste is measured. If the difference is large, the manager investigates causes. Perhaps purchasing bought too much, demand was overestimated, or production was poorly scheduled. Corrective action addresses the cause rather than merely recording the deviation.

THE CONTROL PROCESS

The basic control process can be taught in three broad steps. First, establish standards. Second, measure actual performance and compare it with the standards. Third, take corrective action when needed. Some versions separate measurement and comparison into different steps, but the underlying logic is the same.

A standard is a defined level of expected performance. Standards may concern quantity, quality, time, cost, behaviour, or other relevant dimensions. A standard must be meaningful. If it is impossible to measure or unrelated to the objective, it cannot provide useful control.

Imagine a plan that looks excellent on paper.

Controlling means monitoring organisational performance, comparing actual results...

A simple control relationship is: planned performance -> actual performance ->...

The controller in this relationship may be a line manager, supervisor,...

Harbour Street Bakery might set a weekly standard for product waste.

The basic control process can be taught in three broad steps.

A standard is a defined level of expected performance.

Measurement should answer two questions: What should be measured, and how should it be measured? Managers should select measures that are relevant, reliable, timely, and proportionate to the importance of the activity. Measuring everything creates information overload. Measuring too little creates blind spots.

Comparison requires interpretation. A deviation is not automatically a problem. Some variation is normal. Managers should ask whether the difference is significant, whether it is temporary, and whether action is worth the cost. Management by exception means giving greater attention to important deviations rather than spending equal time on every small difference.

Corrective action can change people, process, resources, schedules, standards, or even the objective itself. A persistent failure may mean that the standard is unrealistic. Control is therefore not only about returning to the plan. It is also a way of learning whether the plan and standard remain appropriate.

Measurement should answer two questions: What should be measured, and how should...

Comparison requires interpretation.

Corrective action can change people, process, resources, schedules, standards, or...

THREE BASIC TYPES OF CONTROL

Feedforward control operates before work begins and attempts to prevent problems. Examples include staff training, supplier checks, design reviews, preventive maintenance, and approval procedures. It is preventive because the goal is to act before the result occurs.

Concurrent control operates while work is being performed. Examples include real-time quality checks, supervisor observation, process monitoring, and immediate correction of errors. It is useful when delays would make later correction expensive or unsafe.

Feedback control operates after work has been completed. It uses results to evaluate performance and improve future action. Financial statements, customer complaints, completed-project reviews, and end-of-period performance reports are common examples. Feedback cannot undo a completed event, but it can improve future plans and standards.

The three forms work best together. Training can prevent errors. In-process checking can catch an error quickly. End-of-period review can reveal patterns that lead to better training or process redesign. A mature control system therefore distributes control across time instead of relying only on final inspection.

Feedforward control operates before work begins and attempts to prevent problems.

Concurrent control operates while work is being performed.

Feedback control operates after work has been completed.

The three forms work best together.

THREE BASIC CONTROL TIMINGS

Type	When it operates	Example
Feedforward	Before work	Training, supplier checks, preventive maintenance

Type	When it operates	Example
Concurrent	During work	Real-time inspection, supervision, process monitoring
Feedback	After work	Variance review, customer analysis, post-project review

METHODS AND REQUIREMENTS OF EFFECTIVE CONTROL

Managers use many methods of control. Budgetary control compares planned and actual financial or resource use. Quality control checks whether outputs meet standards. Inventory control monitors stock levels, usage, and replenishment. Performance appraisal reviews individual contribution and development. Internal audit examines records and processes. Management information systems provide summaries and alerts that help managers monitor important indicators.

Effective control systems are accurate enough for the decision, timely enough to permit action, understandable to users, flexible enough to respond to change, and economical relative to the value of the activity. They should also focus on important results rather than create unnecessary administrative work.

Several barriers can weaken control. Employees may resist because they see measurement as punishment. Standards may be unclear. Information may arrive too late. Measures may reward the wrong behaviour. Managers may ignore uncomfortable information. Excessive control can also reduce initiative if every minor action requires approval.

Good control separates evidence from blame. When a result is poor, managers should ask what happened, why it happened, and what should change. This approach does not remove accountability. It makes accountability useful by connecting it to learning and corrective action.

Managers use many methods of control.

Effective control systems are accurate enough for the decision, timely enough to...

Several barriers can weaken control.

Good control separates evidence from blame.

PLANNING AND CONTROLLING AS ONE LOOP

Planning and controlling are sometimes taught as separate functions, but they are strongly connected. Planning establishes objectives, standards, schedules, and assumptions. Controlling generates information about actual performance. That information can trigger corrective action and change the next plan.

Planning and controlling are sometimes taught as separate functions, but they are...

Harbour Street Bakery plans to produce 1,200 units because expected demand appears strong. After the first two weeks, sales are lower than expected and waste is higher. The manager should not merely state that the plan was missed. The manager should investigate the assumptions, revise production, and perhaps change the next forecast. Control has improved the next round of planning.

This loop is important because organisations are not machines operating under fixed conditions. External conditions change. Employees learn. Customers change preferences. Processes improve. A control system that never changes the plan can become rigid. A planning system that never receives performance information becomes disconnected from reality.

The final managerial lesson is simple: control is not the last page of the management process. It is the source of information that makes the next planning cycle more intelligent. In that sense, management is a repeating loop rather than a straight line.

WORKED CASE: HARBOUR STREET BAKERY

Situation. Product waste has doubled for three weeks, but the production target is still being met.

Question. Should the manager intervene? Reasoning. Meeting the output target does not prove overall performance is acceptable. Waste may be consuming resources and undermining profitability or sustainability. The manager should verify the measure, identify the cause, and determine whether the deviation is significant.

Conclusion and check. Use the control process to compare the result with a meaningful standard, take corrective action, and review whether the original standard still makes sense. Check that the corrective action addresses the cause rather than only the visible symptom.

THE CLOSING PACK

Summary. Controlling means comparing actual performance with standards and taking appropriate action. The process relies on planning, measurement, comparison, and correction. Feedforward, concurrent, and feedback controls operate at different times. Effective control is relevant, timely, economical, understandable, and linked to meaningful objectives.

Think it through. A report shows that product defects doubled last month. Before taking corrective action, what questions should a manager ask about the measure, standard, timing, and cause?

Where people go wrong. Control is not identical to punishment. A control system should improve performance and learning. Another mistake is to assume every deviation requires immediate correction. Managers should consider materiality, causes, trends, and the cost of intervention.

In history. As organisations became larger, formal budgets, standards, inspections, and management information systems became more important because senior managers could no longer observe all work directly. Modern control keeps the same basic logic while using faster information and more sophisticated measures.

Harbour Street Bakery plans to produce 1,200 units because expected demand...

This loop is important because organisations are not machines operating under...

The final managerial lesson is simple: control is not the last page of the...

Situation.

Question.

Conclusion and check.

Summary.

Think it through.

Where people go wrong.

In history.

REVIEW QUESTIONS

1. Define controlling.
2. What is a standard?
3. Explain the three basic steps in the control process.
4. Distinguish feedforward, concurrent, and feedback control.
5. Why can excessive control damage an organisation?
6. Explain the relationship between planning and controlling.

REVIEW ANSWER NOTES

Chapter 1: THE WORK OF MANAGEMENT

1. Management is the process of achieving organisational goals through people and resources. A complete definition should mention goals, people, resources, and ongoing coordination.

2. Effectiveness is achieving an appropriate objective. Efficiency is using resources well while doing so. A business can be effective but inefficient, or efficient but ineffective.

3. Technical skill helps a manager understand specialised work; human skill helps the manager work with people; conceptual skill helps the manager understand the organisation as a whole.

4. Planning sets direction; organising arranges work and authority; leading influences people; controlling compares results with standards and feeds information into the next cycle.

5. Management uses systematic knowledge and evidence, which gives it a scientific aspect, but real situations require judgement and application, which gives it an artistic aspect.

6. Fayol's fourteen principles are division of work; authority and responsibility; discipline; unity of command; unity of direction; subordination of individual interest; remuneration; centralisation; scalar chain; order; equity; stability of tenure; initiative; esprit de corps.

Chapter 2: THE ORGANISATIONAL ENVIRONMENT

1. The internal environment consists of conditions within the organisation; the external environment consists of forces outside it that affect the organisation.

2. Examples include economic conditions, social expectations, technology, politics and law, competition, suppliers, customers, and the natural environment.

3. Scanning helps managers notice changes that may affect goals, costs, opportunities, risks, customers, or resources before the effects become severe.

4. Sustainability asks whether organisational activity can continue over time without undermining the economic, social, or environmental conditions needed for future activity.

5. An action can comply with law and still raise ethical concerns. Ethical reasoning asks about fairness, responsibility, harm, and appropriate conduct, not only legality.

6. Davis connected social responsibility to decisions and actions taken partly for reasons beyond the firm's direct economic or technical interest and linked managerial power with responsibility.

Chapter 3: PLANNING: FROM INTENTION TO ACTION

1. Planning means deciding in advance what should be achieved and how it will be achieved.

2. A broad process is: understand conditions and premises; clarify objectives; develop alternatives; evaluate them; select a course and supporting plans; implement and review.

3. A planning premise is an assumption about a condition that affects the plan, such as expected demand, staffing, supplier reliability, or a rule.

4. A standing plan is designed for recurring situations; a single-use plan is designed for one specific, non-recurring purpose.

5. Plans can fail because objectives are unclear, assumptions are unrealistic, resources are missing, people do not understand the plan, conditions change, or review and control are weak.

6. Review points reveal deviations early and allow managers to revise assumptions, actions, or resources before small differences become large problems.

Chapter 4: OBJECTIVES AND MANAGEMENT BY OBJECTIVES

1. An objective is a desired result that gives direction to action and provides a basis for later evaluation.

2. Multiple levels of objectives connect organisation-wide purpose to functional and individual action, reducing conflicting effort.

3. The eight classic areas are market standing, innovation, productivity, physical and financial resources, profitability, manager performance and development, worker performance and attitude, and public responsibility.

4. MBO is a cycle of setting and agreeing objectives, preparing action plans, performing work, reviewing results, giving feedback, and renewing or revising objectives.

5. Benefits include clarity, coordination, participation, and concrete feedback. Weaknesses include paperwork, poor measurement, imposed targets, goal conflict, and excessive focus on measured outcomes.

6. Any objective should identify a clear result, a meaningful measure where possible, responsibility, timing, and enough context to avoid rewarding the wrong behaviour.

Chapter 5: DECISION MAKING

1. A decision situation contains a problem or opportunity, alternatives, criteria, information or assumptions, and consequences or outcomes.

2. Identify the problem; set criteria; develop alternatives; evaluate alternatives; select; implement; review.

3. Certainty involves known outcomes; risk involves estimable probabilities; uncertainty involves outcomes or probabilities that cannot be estimated with useful confidence.

4. Bounded rationality recognises limits of information, time, attention, and cognitive capacity. Satisficing means accepting an option that is good enough to meet a threshold rather than searching forever for perfection.

5. Groups are useful when knowledge is distributed, implementation commitment matters, or the problem is complex. They are costly when speed matters or when group pressure may distort judgement.

6. A decision tree lays out choice points and chance outcomes. Expected value combines outcome values with their estimated probabilities; the result depends on the assumptions used.

Chapter 6: ORGANISING WORK AND AUTHORITY

1. Organising arranges work, people, authority, and resources so that plans can be carried out.

2. Formal organisation is deliberately designed through roles and authority; informal organisation grows through relationships and social groups.

3. Bureaucratic models emphasise rules, hierarchy, and formal structure. Behavioural models emphasise people, groups, motivation, and informal relationships.

4. Span depends on task similarity, employee competence, manager capability, standardisation, geography, communication systems, and required coordination.

5. Authority is formal role-based decision right; power is the broader ability to influence behaviour.

6. Delegation assigns responsibility with appropriate authority while accountability remains. Centralisation concentrates authority; decentralisation distributes it. Coordination integrates separate activities.

Chapter 7: LEADING PEOPLE

1. Motivation concerns forces that influence the direction, intensity, and persistence of behaviour.

2. A need creates tension, goals direct behaviour, performance produces outcomes, and outcomes affect satisfaction and future behaviour. The model is a simplified teaching framework.

3. Physiological, safety, belongingness, esteem, and self-actualisation are the commonly taught levels in Maslow's hierarchy.

4. Theory X assumes stronger external control is often necessary because people tend to avoid work or responsibility. Theory Y assumes people can exercise self-direction and develop commitment under supportive conditions.

5. Tannenbaum and Schmidt place leadership behaviour on a continuum from more manager-centred to more employee-centred patterns, depending on the amount of authority and freedom used.

6. Legitimate, reward, coercive, expert, and referent power are common bases of influence.

7. Leadership requires awareness of emotion, trust, conflict, and relationships. Emotional intelligence can help a manager understand and regulate these human aspects of work.

Chapter 8: CONTROLLING PERFORMANCE

1. Controlling means monitoring performance, comparing actual results with standards or plans, and taking corrective action when needed.
2. A standard is a defined expected level of performance against which actual results can be compared.
3. Establish standards; measure and compare actual performance; take corrective action or revise the standard when appropriate.
4. Feedforward acts before work, concurrent control during work, and feedback after work.
5. Excessive control consumes time, reduces initiative, encourages gaming, and can shift attention from meaningful outcomes to easy-to-measure activities.
6. Planning defines objectives and standards. Control provides information about performance. That information can correct current action and improve the next plan.

GLOSSARY

Accountability means The obligation to accept responsibility for results and to explain performance.

Concurrent control means Control applied while work is being performed.

Corporate social responsibility model means A framework linking organisational power, social consequences, and responsibility.

Scientific management means An approach that studies work methods and task design systematically to improve productivity.

Management science means Use of quantitative and analytical methods to support managerial decisions.

Authority means The formal right attached to a role to direct work and make decisions within its scope.

Bounded rationality means Decision making under limits of information, time, attention, and cognitive capacity.

Centralisation means Concentration of significant decision authority at higher organisational levels.

Controlling means Monitoring performance, comparing it with standards, and taking appropriate action.

Coordination means Integration of separate activities so that they work together toward shared objectives.

Corporate social responsibility means An organisation's consideration of responsibilities toward society beyond narrow internal economic or technical interests.

Creativity means Generation of ideas that may be new or useful.

Decentralisation means Distribution of significant decision authority to lower levels or units.

Delegation means Assignment of responsibility with appropriate authority while ultimate accountability remains with the manager.

Departmentalisation means Grouping jobs into departments according to a chosen basis such as function, product, customer, process, or geography.

Decision support system means An information system that helps managers analyse information and alternatives for decisions.

Efficiency means Using resources well in accomplishing work.

Effectiveness means Achieving appropriate organisational objectives.

Emotional intelligence means Capacity to recognise and manage emotions and to understand emotional and relational information in oneself and others.

Environmental scanning means Systematic gathering and interpretation of relevant information about conditions outside the organisation.

Feedforward control means Preventive control applied before work is performed.

Feedback control means Control based on completed results that informs future action.

Human skill means Ability to work effectively with individuals and groups.

Informal organisation means Unofficial network of relationships and groups that develops among organisational members.

Legitimate power means Influence arising from formal position or role.

Management means The process of achieving organisational goals by working with people and using resources efficiently and effectively.

Management by Objectives means A management approach that uses agreed objectives to guide action, review performance, and renew goals.

Managerial responsibility means The obligation to perform assigned work, use authority properly, and accept accountability for results.

Motivation means Forces that influence the direction, intensity, and persistence of behaviour.

Objective means A desired result that gives direction to action and provides a basis for evaluation.

Organising means Arranging work, people, authority, and resources so that objectives can be achieved.

Planning means Deciding in advance what should be achieved and how it will be achieved.

Planning premise means An assumption about a condition that affects a plan.

Power means The ability to influence behaviour, whether through formal authority or other sources.

Productivity means The relationship between output produced and resources used to produce it.

Referent power means Influence based on respect, identification, or admiration.

Risk means A decision condition in which possible outcomes can be identified and probabilities can be estimated.

Satisficing means Choosing an alternative that is good enough to meet a threshold instead of searching indefinitely for perfection.

Span of management means The number of subordinates who report directly to a manager.

Standing plan means A plan intended for repeated use in recurring situations.

Strategy means A broad approach for achieving important organisational objectives.

Transformational leadership means Leadership that seeks significant change by building commitment, encouraging new thinking, and developing people.

Leadership style means A recurring pattern in how a leader makes decisions and interacts with followers.

Sustainability means Managing activity so that economic, social, and environmental conditions needed for continued value creation are not undermined.

Technical skill means Knowledge of methods, tools, processes, or specialised work.

Theory X means A set of managerial assumptions emphasising external direction and control and a tendency to avoid work or responsibility.

Theory Y means A set of managerial assumptions recognising people's potential for self-direction, responsibility, and commitment under suitable conditions.

Uncertainty means A decision condition in which outcomes or probabilities cannot be estimated with useful confidence.

FURTHER READING AND SOURCE NOTES

1. Davis, Keith (1960). "Can Business Afford to Ignore Social Responsibilities?" *California Management Review*, 2(3), 70-76. The article is recorded by *California Management Review* and by the journal index.¹
2. Davis, Keith (1975). "Five Propositions for Social Responsibility." *Business Horizons*, 18(3), 19-24.⁵
3. Fayol, Henri (1916). *Administration Industrielle et Generale*. English-language editions commonly appear under the title *General and Industrial Management*.
4. Maslow, A. H. (1943). "A Theory of Human Motivation." *Psychological Review*, 50, 370-396.²
5. McGregor, Douglas (1960). *The Human Side of Enterprise*. McGraw-Hill.³
6. Taylor, Frederick Winslow (1911). *The Principles of Scientific Management*.
7. Tannenbaum, Robert, and Warren H. Schmidt (1958). "How to Choose a Leadership Pattern." *Harvard Business Review*.⁴
8. Drucker, Peter F. (1954). *The Practice of Management*.
9. Barnard, Chester I. (1938). *The Functions of the Executive*.
10. Mayo, Elton (1933). *The Human Problems of an Industrial Civilization*.

Historical verification notes

The Maslow article is recorded as a 1943 *Psychological Review* publication, volume 50, pages 370-396.²

Keith Davis's 1960 article is recorded in *California Management Review*, volume 2, issue 3, pages 70-76.¹

Tannenbaum and Schmidt's leadership continuum is associated with their 1958 *Harvard Business Review* article, "How to Choose a Leadership Pattern."⁴

McGregor's *The Human Side of Enterprise* was published in 1960 and develops the Theory X and Theory Y assumptions used in this book.³

INDEX

The index below is generated from the first substantial occurrence of each major term. Page references may therefore point to the first teaching page rather than every place the term appears.

A

authority - 4-5, 9, 11, 36

B

behavioural model - 4, 41, 44, 59

bounded rationality - 35, 37-38, 58

bureaucratic model - 41, 59

C

centralisation - 5, 11, 39, 42-44

coaching - 5, 48-49

conceptual skill - 9-10, 12, 14, 57

concurrent control - 53, 60

controlling - 5, 8, 10, 12

coordination - 5, 8-10, 12-13, 22

corporate social responsibility - 18

creativity - 34, 45, 48-49

D

Davis model - 18

decentralisation - 5, 39, 42-44, 59

decision making - 4, 10, 17-19, 33-38

decision support system - 36

decision tree - 4, 33-34, 36-38, 59

delegation - 5, 10, 39, 41-44

E

effectiveness - 8, 10-11, 14, 57

efficiency - 8, 10-11, 13-14, 19

emotional intelligence - 48-50, 59

environment - 4, 15-20, 24, 29

environmental scanning - 17, 20

ethics - 4, 18-19

F

Fayol - 11, 13-14, 57

feedback control - 53, 55-56

feedforward control - 53

formal organisation - 4, 39-41, 43-44, 59

H

human skill - 9-10, 57

I

informal organisation - 4, 39-41, 43-44, 59

innovation - 28-29, 41, 45, 48

L

leadership style - 5, 47, 49

leading - 5, 8, 10, 12

M

management - 1-60

Management by Objectives - 4, 27-29, 58

management science - 11

Maslow - 5, 47, 49-50, 59

MBO - 29-30, 32, 58

motivation - 5, 10-11, 30, 41

O

objective - 4, 6, 10, 12

organising - 4, 8, 10, 12

P

planning - 3-6, 8, 10, 12-14

planning premise - 22, 26, 58

power - 5, 9, 16, 18

probability - 4, 33, 36-37

productivity - 4, 10-11, 28-29, 58

S

satisficing - 35, 58

scientific management - 11, 13

single-use plan - 23-24, 26, 58

span of management - 39, 41, 44

standard - 11, 16, 22, 40-41

standing plan - 23, 26, 34, 58

super leadership - 5, 48

sustainability - 4, 17-20, 55, 57

T

Tannenbaum-Schmidt - 5, 46-47, 50

technical skill - 9, 57

Theory X - 5, 45, 47, 49-50

Theory Y - 5, 45, 47, 49-50

transformational leadership - 48